



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

OCTOBER 2006 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

INSTRUCTIONS

- Three hours are allowed for this paper.
- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification anywhere on this question paper.
- **The answer booklet and this question paper must be handed in personally by you to the invigilator before you leave the examination. Failure to do this may result in your paper not being marked and you may be prevented from entering this examination in future.**

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper. You should answer all questions in Part I, the compulsory question in Part II and three out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	8 compulsory questions	48 marks
Part II	1 compulsory question	50 marks
Part III	3 questions selected from 5	102 marks

You are advised to spend no more than 45 minutes on Part I.

Where a question is split into parts (a), (b) etc, marks for each part are only shown if they are split unevenly between the parts and you should spend your time in accordance with the allocation.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show each step in any calculation, even if you have used a calculator.

You may find it helpful in some places to make rough notes in the answer booklet, if you do this, you should cross through these notes before you hand in the booklet.

PART I

Answer ALL questions in Part I.
Each question is worth six marks.

Note form is acceptable where this conveys all the necessary information.

1. Why is it important for actuaries to consider current and future interest rates when setting the level of reserves?
2. Briefly explain how the duty of utmost good faith applies at claim stage. Illustrate your answer with case law.
3. What is the Glasgow coma scale? Explain briefly how it works and what the scores represent.
4. What is a key person policy? How is the sum assured set?
5. What is Parkinson's disease? What symptoms does it cause?
6. When is a jury required for an English coroner's inquest?

7. What is an ECG? How does it assist in the diagnosis of heart disease?

8. What is a partnership? What dictates how partnership profits are distributed?

PART II

Compulsory question.

This question is worth 50 marks.

9. You are advised of the death of one of your policyholders. The policy was issued on a joint life basis with the deceased's wife being the other life assured – she was accepted at standard rates.

Please review the attached underwriting summary sheet and extract from the Birmingham Herald Daily News.

Underwriting summary

Policy number: 12345

Policy type: Joint life term assurance 10 years.

Sum assured: £600,000

Date of commencement: 05.12.05

Application form: 01.11.05

Name:

Mr James Big

Date of birth:

05.06.69

Marital status:

Married – first child due next month.

Five children from previous relationships.

Occupation:

Finance director.

Smoking status:

Non-smoker.

Current alcohol consumption:

Nil.

Medical history:

No disclosures.

Medical examination: 10.11.05

Height and weight:

5ft 10in, 13 stone.

Blood pressure:

135/78

Urinalysis:

Clear.

Habits:

Non-smoker. 14 units of alcohol per week.

Financial questionnaire: 05.11.05

Exact occupation – asked to give nature of industry and precise details of role:
Earnings over last three years:

Finance director – no manual duties.

2002 – £64,000

2003 – £10,000 loss

2004 – £121,000

Reason for cover:

Personal protection.

Existing cover:

None.

Extract from the Birmingham Herald Daily News:

'A local man has been found dead in his car in the notorious Rushden area of Birmingham. Unconfirmed reports indicate that the cause of death was a single gunshot wound to the head.

Mr Big, aged 37, was a well-known figure in the area and reportedly had previous convictions for drug dealing and armed robbery.

Speaking from her home today his wife said: 'He was a lovely family man with everything to live for – his recent financial worries had been put behind him, he had moved back into the family home and we were looking forward to our future together'.

However reports from neighbours who did not want to be named told of a chain of domestic disturbances in the recent past, along with accusations of affairs and ongoing involvement in the world of drugs and gang warfare.

The death has been referred to the coroner for further investigation.'

- (a) A letter from the wife's solicitor notifies you of the death. What initial/routine administrative steps would you take in respect of the claim before obtaining further evidence? (5 marks)

- (b) Outline the additional considerations for this claim given the facts of this case. How would you deal with these? Comment specifically on the evidence you need to obtain and the actions that may arise from potential findings. (40 marks)

- (c) The deceased's wife advises you that the Independent Financial Adviser who sold the policy was aware of the deceased's illegal business activities and financial worries at the time the policy was underwritten, but he advised them to complete the financial questionnaire as above. How does this affect your assessment of the claim? (5 marks)

PART III

Answer THREE of the following FIVE questions.
Each question is worth 34 marks.

10. Distinguish between the terms fraud and exaggeration in the context of a disability claim. Give one example of each.

How should an insurer respond to these two situations?

11. (a) Explain and distinguish the terms grade and stage in relation to a diagnosis of cancer. (10 marks)

(b) When, during the assessment of a critical illness claim for cancer, is it necessary to determine the grade? Explain the system of grading used. (12 marks)

(c) Give two examples of the most common classifications of cancer staging, explaining how each operates. (12 marks)

12. (a) What elements make up the remuneration of a self-employed director and how would you establish the level of each element at claim stage? (10 marks)

(b) When assessing an income protection claim from a self-employed director, what issues in respect of these elements would a claims assessor need to take account of? (24 marks)

13. Explain the procedures that a life office should undertake when notified of a death claim arising from a disaster such as the Asian tsunami in December 2004. Comment particularly on the practical issues faced in determining the validity of such a claim and what sources of information would be useful in the assessment.

14. (a) Outline the anatomy and function of the respiratory system. (8 marks)

(b) Using the two examples of asthma and chronic obstructive pulmonary disease describe how they may give rise to an income protection claim, and for each, outline the functional effects. (26 marks)